

TABLE 7—EFFECTS OF LOAN LIMIT INCREASES ON ALTERNATIVE SOURCES OF COLLEGE FINANCING

Years since entry:	1	2	3
<i>Panel A. Any credit card (observations: 143,871)</i>			
<i>Constrained × cohort</i> ∈ {2006, 2007, 2008}	−0.023 (0.01) {0.085}	−0.007 (0.007) {0.560}	−0.010 (0.007) {0.359}
Dependent variable mean	0.519	0.587	0.619
<i>Panel B. Credit card balance (conditional on having 1+ cards)</i>			
<i>Constrained × cohort</i> ∈ {2006, 2007, 2008}	−88 (28) {0.008}	−85 (42) {0.037}	−32 (55) {0.599}
Dependent variable mean	\$1,358	\$1,815	\$2,152
Observations	74,607	84,425	89,026
<i>Panel C. Any earnings X years after entry (observations: 77,900)</i>			
<i>Constrained × cohort</i> ∈ {2006, 2007, 2008}	−0.020 (0.006) {0.064}	−0.012 (0.006) {0.106}	0.003 (0.006) {0.775}
Dependent variable mean	0.803	0.792	0.796
<i>Panel D. ln(earnings) X years after entry</i>			
<i>Constrained × cohort</i> ∈ {2006, 2007, 2008}	−0.054 (0.026) {0.028}	−0.033 (0.024) {0.312}	−0.046 (0.024) {0.055}
Dependent variable mean	8.6	8.8	9.0
Observations	62,557	61,722	62,005

Notes: Panels A and B: CCP/Equifax samples. Panels C and D: Texas four-year entrant sample. Each cell within a panel contains estimates from separate regressions of the outcome on an indicator for being constrained at entry interacted with an indicator for being in the 2006, 2007, or 2008 entry cohorts. All specifications also include an indicator for being constrained at entry and cohort entry year fixed effects. Specification in panels A and B also include state and age at entry fixed effects; quarters from entry before a credit report was created fixed effects; indicators for having a credit card, auto loan, mortgage; number of credit accounts; and credit score, measured before entry. Specifications in panels C and D also include entry school fixed effects and controls for URM, age at entry, EFC at entry, gender, fall-entrant, and in-state student. Dependent variable is indicated in the subpanel heading, measured in the number of years after entry indicated in the column heading. Robust standard errors, clustered by entry state (panels A and B) or entry institution (panels C and D), in parentheses; *p*-values from wild cluster bootstrap-*t* in brackets.

the reduction in credit card utilization and earnings from employment indicate that greater student loan availability reduced constrained students’ reliance on other sources of liquidity during school.

C. Effects of Loan Limit Increases on Postcollege Earnings, Employment, and Credit Outcomes

Given that loan limit increases result in constrained students accumulating both more debt and more human capital, we next consider impacts on longer-run credit and labor market outcomes. We focus on these outcomes beginning four years after entry—a point when many students have left college.

We first consider how access to additional loans affects student loan repayment. While the increases in federal loan limits resulted in higher average balances—which could lead to increased difficulty in making minimum payments—constrained students also acquired more human capital. Despite having more debt, constrained students who entered in 2008 were significantly less likely to be delinquent with